

Lanka. Only the rapid rise in market cap of new-age Amazon, Google and Facebook come close or, back home, giants like HDFC Bank and TCS.

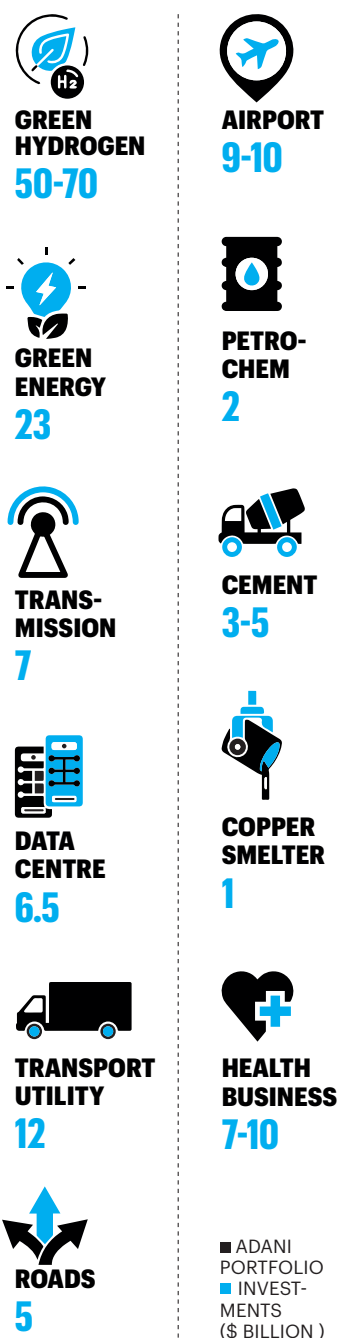
Adani is positioning his group as a leader in infrastructure. Given India's underdeveloped infrastructure, the decision was shrewd. And the execution, exceptionally successful. "They have not gone bankrupt, unlike their peers (Jaypee, Lanco, etc.)," says Vinit Bolinjkar, Head of Research at Ventura Securities. Partly, the financing strategy of using bonds instead of short-term bank loans has helped.

When Adani started his entrepreneurial journey, he had the support of younger brother Rajesh (currently MD of Adani Group), who was good at building business relationships. The business philosophy has always been to capture the entire value chain. For instance, it started as a coal trader and later did backward integration by acquiring mining operations. At the same time, it did forward integration into ports, logistics, thermal power and renewable energy, transmission, and city gas distribution. Over the years, the flagship Adani Enterprises Ltd (AEL) has churned out unicorns like Adani Transmission, Adani Power, Adani Ports, Adani Green, Adani Total Gas and Adani Wilmar (see box 'Adani's Empire'). Malay Mahadevia, Adani's close associate, played a key role in the group's success.

As part of its backward integration strategy, AEL also acquired a coal mine at Carmichael Basin in Queensland, Australia, a decade ago. But mining was delayed because of protests by environmental activists. The coal dispatches commenced this February with a mining capacity of 11 million metric tonnes (MMT). AEL has also incubated new businesses in sectors such as the green hydrogen ecosystem, solar, airports, roads & highways, data

## READY FOR THE FUTURE

Adani Group's investment plans for the next 5-10 years



SOURCE ADANI ENTERPRISES PRESENTATION (OCTOBER 2022)

centres, defence & aerospace, and water. The strategy is to nurture new businesses until they are ripe for unlocking value in public markets (see box 'Ready for Unlocking').

**A** **DANI IS BETTING** big on the energy value chain, from renewables, thermal power, gas distribution, to transmission and distribution. Backed by French giant TotalEnergies with a 20 per cent stake, Adani Green Energy Ltd (AGEL) has emerged as one of India's largest renewable energy developers, with a portfolio of 20 GW-plus spread over a dozen states. Six years ago, it had only 0.3 GW. That explains the company's high price-earnings (P/E) multiple of 644 times. Currently, 6.7 GW is operational with cash flows secured through PPAs (power purchase agreements), and 13.7 GW is under construction. The man executing the green energy project is group veteran Vneet S. Jaain.

In thermal power, Adani Power Ltd (APL) is India's largest private power producer (with a capacity of 12,450 MW). The third energy arm is Adani Total Gas Ltd (ATGL), where TotalEnergies has a 37.4 per cent equity stake. ATGL is developing city gas distribution networks to supply piped natural gas (PNG) to the industrial, commercial and residential sectors; and compressed natural gas (CNG) to the transport sector. The rising usage of CNG has given this company a P/E multiple of 824 times, the highest in the group. Adani Transmission Limited (ATL) has a network of 18,795 circuit km (ckm), up from 6,950 ckm six years ago. Currently, 15,003 ckm is operational. This business is helmed by ex-Tata Power honcho Anil Sardana, who is the MD & CEO.

In transportation, ports was the first big foray into forward integration to support its trading business. In a little over a decade, Adani Ports